4 Jun 2020

Research Briefing | Germany

Seven takeaways from Germany’s new stimulus package

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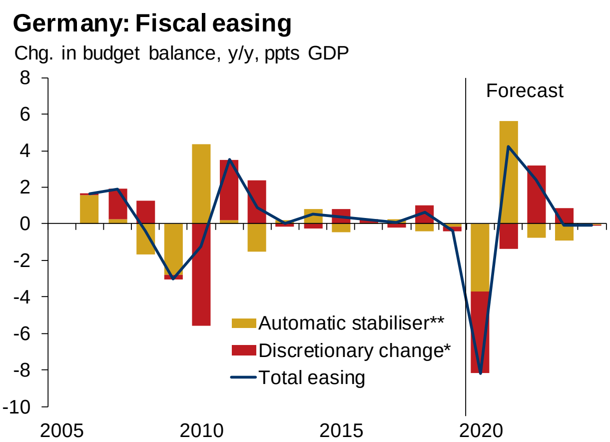
- **As lockdowns are being eased across the continent the German government has moved from freezing the economy to jumpstarting the recovery proposing another massive fiscal stimulus package worth €130bn or 3.8% of 2019 GDP. While the headline number strongly overstates the additional boost to 2020 and the effectiveness of some of the fiscal measures may be subpar, the proposal still means that Germany is now even better positioned to recover.**

After two days of intensive debate, the German governing coalition has agreed on another large-scale fiscal package intended to jump start the recovery. For months it was clear that the government would propose additional measures to boost the economy, once the number of infections is falling and lockdowns are lifted, which allows fiscal policy to regain its traction. All told and despite some caveats this is a very welcome proposal, which we will discuss presenting seven key takeaways.

The package is smaller than the headline number suggests. The CDU/CSU and SPD government has agreed a total of 57 measures, which add up to €130bn or about 4% of GDP. However, not all of this is new money. There are over €60bn left from Germany’s initial fiscal response according to finance minister Scholz. Hence, the additional widening of the fiscal balance will be likely limited to about 2% of GDP. Moreover, we would tentatively suggest that only about half of the package will be boosting 2020 with the remainder concentrated in 2021, but some measures are running up to 2025. **This is not necessarily bad news, though.** Germany’s previous fiscal plans were already putting it among the best positioned economies to recover. In addition, we think that the stimulus flowing into next year means that the fiscal stance will be tightened less than previously assume in 2021 raising the chances of a sustained recovery. We already broadly accounted for the additional fiscal stimulus in our latest fiscal forecasts to be published next week. We expect a fiscal deficit of 6.7% of GDP this year and 2.5% next year.

Figure 1: Germany may benefit from a discretionary fiscal easing of over 4% of GPD this year



Source: Oxford Economics/Haver Analytics/EU Commission (*negative values point to fiscal easing; **assuming EC's budget semi-elasticities)

Germany’s fiscal deficit could amount to 7% of GDP this year after a surplus of 1.5% in 2019. Much of the fiscal response is driven by automatic stabilisers such as higher unemployment benefits. But Germany also boasts one of the largest discretionary fiscal easing packages around the world boosting recovery prospects.

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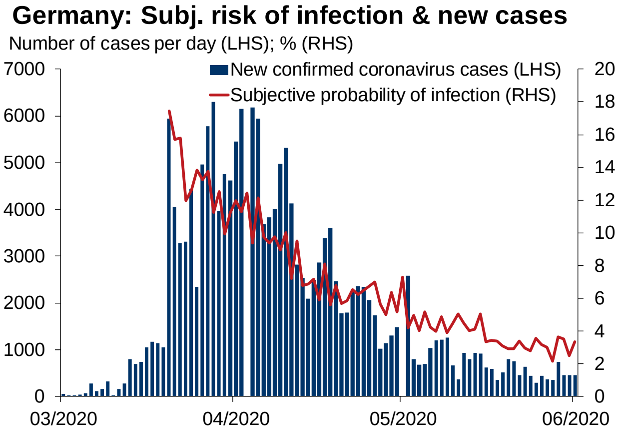
Germany endorsing counter-cyclical policy is good for Europe's recovery

Europe's fiscal response to the pandemic remains uneven but is shaping up better than feared at the start of the crisis. The additional fiscal stimulus in Germany will further increase Germany's lead over most other EU countries' discretionary fiscal response, even though the economy has been less afflicted by the pandemic than most. We think that Germany's discretionary fiscal easing amounts to about 4% of GDP this year compared to about 2% for the eurozone average. In any case, most EU countries have delivered sizeable fiscal easing. Together with tight supply-chains that are now getting back to work yesterday's deal should offer positive spillovers to the rest of Europe. Furthermore, the EU's recovery fund was a welcome surprise, that significantly raised the likelihood of an EU wide recovery next year. While the aggregate fiscal response in the US still looks an order of magnitude larger, the gap has narrowed further now.

Germany has fully endorsed a counter-cyclical fiscal policy approach, for now. Many will see Germany's leading fiscal policy response as a turnaround by a notionally fiscally hawkish country. There is some merit to this. Finance minister Scholz installed a group of people in his ministry that is collectively more open to use fiscal and monetary policy as countercyclical tools than what was deemed sensible under his predecessor Schäuble. But there is also little real opposition from the more conservative wing of the CDU. We think that the strong fiscal response is testament to the unprecedented nature of this crisis and the country's very strong fiscal position at the start of the crisis. Moreover, we think that much of it can also be ascribed to the domestic view of "save in good times, so you can spend in bad times". Afterall, Germany's fiscal package during the global financial crisis was also among the largest across Europe. Yet, while the new stimulus makes it even more likely that the constitutional debt brake will remain suspended next year as well, we still expect a fairly quick return to balanced budgets thereafter given the debt brake and the political wish to prepare public finances for the next downturn.

The government tries to boost confidence with its fiscal package. Last night finance minister Scholz called the new fiscal stimulus "the largest ever" and several times underlined the government's intention to boost consumers' and businesses' morale by the composition of the package. The massive, though overstated, headline size of the deal is also geared towards that. This is a bit of a repeat of the first fiscal response, when he referred to the "unlimited" liquidity backstop and loan guarantees for firms as "bazooka". From the over €1,000bn less than €50bn have been taken up so far according to the KfW.

Figure 2: German consumers don't look overly scared of virus anymore



Source: Oxford Economics/ECDC/OWID/German Internet Panel
https://www.uni-mannheim.de/gip/corona-studie/

The steep fall in households' subjective risk of being infected since the peak of the pandemic suggests that they will return to shops, once they are open.

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Fiscal stimulus is geared towards jumpstarting consumer recovery

The composition of the package favours consumers, in order to get them to spend their excess savings. Given the close to 60 different measures (full list in German) we will have to look into the details. But at first glance, there is more of a focus on consumers than firms. This is the opposite of the first fiscal response, when the government aimed to "freeze" the economy and keep businesses alive throughout the lockdown. The change in focus makes sense and is meant to get consumers to spend their excess savings. We think the savings rate may have surged to 17% in Q2 from 11% in 2019 given the lack of spending opportunities. While we are fairly confident that German consumers aren't overly scared to return to the shops (**Figure 2**) given the less severe pandemic dynamics than e.g. in Spain or Italy, the fiscal package will further reduce the risk of a lacklustre recovery in consumer spending.

A temporary VAT cut from 19% to 16% (7% to 5% for the reduced rate) in H2 2020 could cost €20bn according to the plan and is touted as the key stimulus. Lower energy taxes worth around €11bn in 2021 and 2022 as well as a €300 transfer per child (€4bn) are also headed to consumers' purses. The purchase incentives to buy new electric vehicles will be doubled to €6,000 until the end of 2021. They are limited to cars below €40,000, which could more strongly benefit domestic mass producers such as Volkswagen as well as some foreign brands. But tax measures for firms such as incentive for investment, tax loss carry-back and others also add up to €13bn and are complemented by up to €25bn income support for firms/sectors hit especially hard by the pandemic. Beyond that, there is a mix of measures less directly geared to near-term stimulus to pander to the coalition partners different priorities. There is, for instance, a €50bn "investment" package to prop up the medium- to long-run outlook containing tax incentives for research and development as well as the economy's transition to carbon neutrality.

Much of the new package looks suited to help jump start the recovery. Given the economic circumstances it is hard to assess, but we think that the measures targeted at consumers should be successful in accelerating consumers' spending of their excess savings. Most of the available real-time indicators show a similar picture with Germans returning to normal levels of mobility and spending faster than elsewhere in Europe, a dynamic that may now be somewhat reinforced. But VAT cuts tend to have low fiscal multipliers and, if successful in pulling forward demand, there will likely be some adverse payback next year. We will also need to see, if the cut is fully passed on to consumers, but even if not, that could at least support cash strapped firms. A quick return of consumer demand would be very helpful to support cash strapped firms and reawaken their animal spirits. This could amplify the effect from the tax incentives to invest, although we expect this to be affecting 2021 more than 2020. However, we are a bit doubtful as regards the cyclical impact of some of the smaller initiatives in the package. Some of the measures geared towards raising public investment may be curtailed by capacity constraints. All told, the effectiveness of several of the measures in boosting near-term activity are dubious blunting the overall impact on growth, but the positives outweigh the negatives.

The new fiscal package solidifies Germany's position as one of the best placed countries to recover. Our GDP forecast foresees a 6.1% contraction in 2020 and a 5.2% bounce-back in 2021. This is about in line with the latest Bloomberg Consensus and we will refrain from revising our forecasts at this stage. For months the government has been saying that additional stimulus will be forthcoming. This was one of the reasons keeping us from revising down our forecasts further and indeed our forecast update (published next week) already includes the broad contours of the fiscal package. All told, the package should help to support domestic demand at a time, when the global recession weighs heavily on Germany's export-led and investment goods focused industrial sector.

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